

Graham and Dodd emphasized that outperformance is best pursued by looking on a bottom-up basis for individual securities that have a margin of safety relative to the risks entailed by the investment. One of the key observations of my career has been that this margin is most recognizable when comparing substantially similar securities. The enduring wisdom of Part VII of *Security Analysis* is clear: markets are not efficient, and the assiduous analyst can find opportunities, particularly in situations where very similar securities trade at different prices for the same risk, violating the financial theorem—known as “the law of one price”—that identical securities (or baskets of securities) should have the same price across different markets.

When I plowed through *Security Analysis* after my second summer at O'Connor, I was seized by the granular examples from an era gone by. I was worried that I had simply been born just a little too late: while Graham and Dodd had been able to make profitable discoveries by looking bottom-up at companies, surely such opportunities did not persist in the modern world of finance. I was lucky to be wrong about this. In the next few decades, moving to Wall Street to understand the buy-side, and then founding and running a firm focused on fixed-income relative value opportunities, I would find that Graham and Dodd's taxonomy of the factors that create discrepancies between price and value is one of the world's greatest shopping lists. It offers many places to look for opportunities even in large, liquid, seemingly overfished markets. However, it often requires substantially more math and modeling work to understand when and how the same kinds of inefficiencies present themselves in our current, supposedly more sophisticated world.

In Chap. 50, “Discrepancies Between Price and Value” and Chap. 51, “Discrepancies Between Price and Value (*Continued*),” Graham and Dodd review opportunities to profit from various aberrations in the securities market. Markets in the 1930s were certainly rife with price discrepancies, both those that were accessible to a professional investor